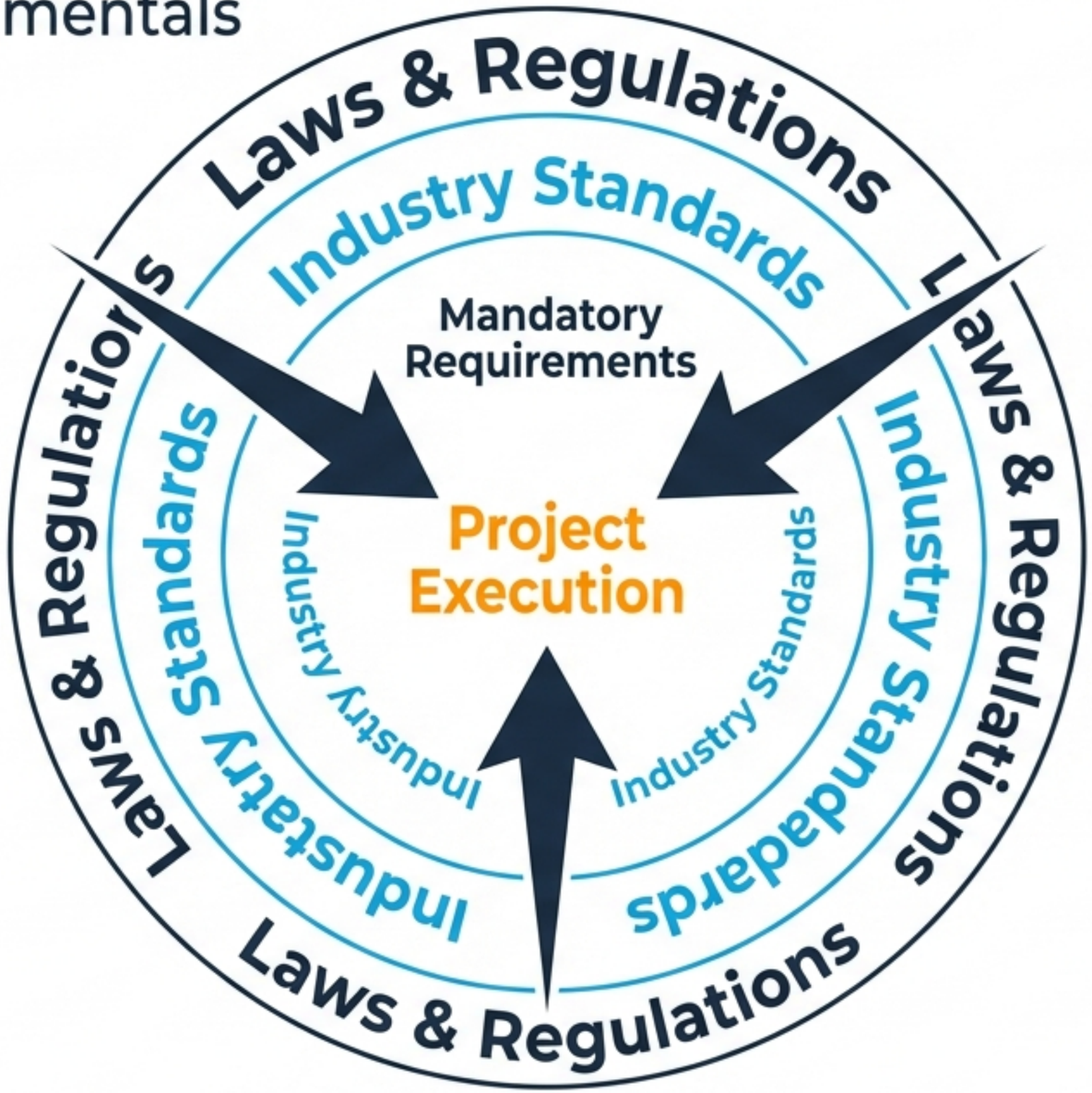
LECTURE 19 — COMPLIANCE, RISK & EXTERNAL ENVIRONMENT

Compliance Fundamentals



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THE REGULATORY ENVIRONMENT

Highly Regulated Sectors

Banking

Healthcare

Aviation

Project Obligations External Constraints **Strict Controls**

Industry Variance

Legal Obligations

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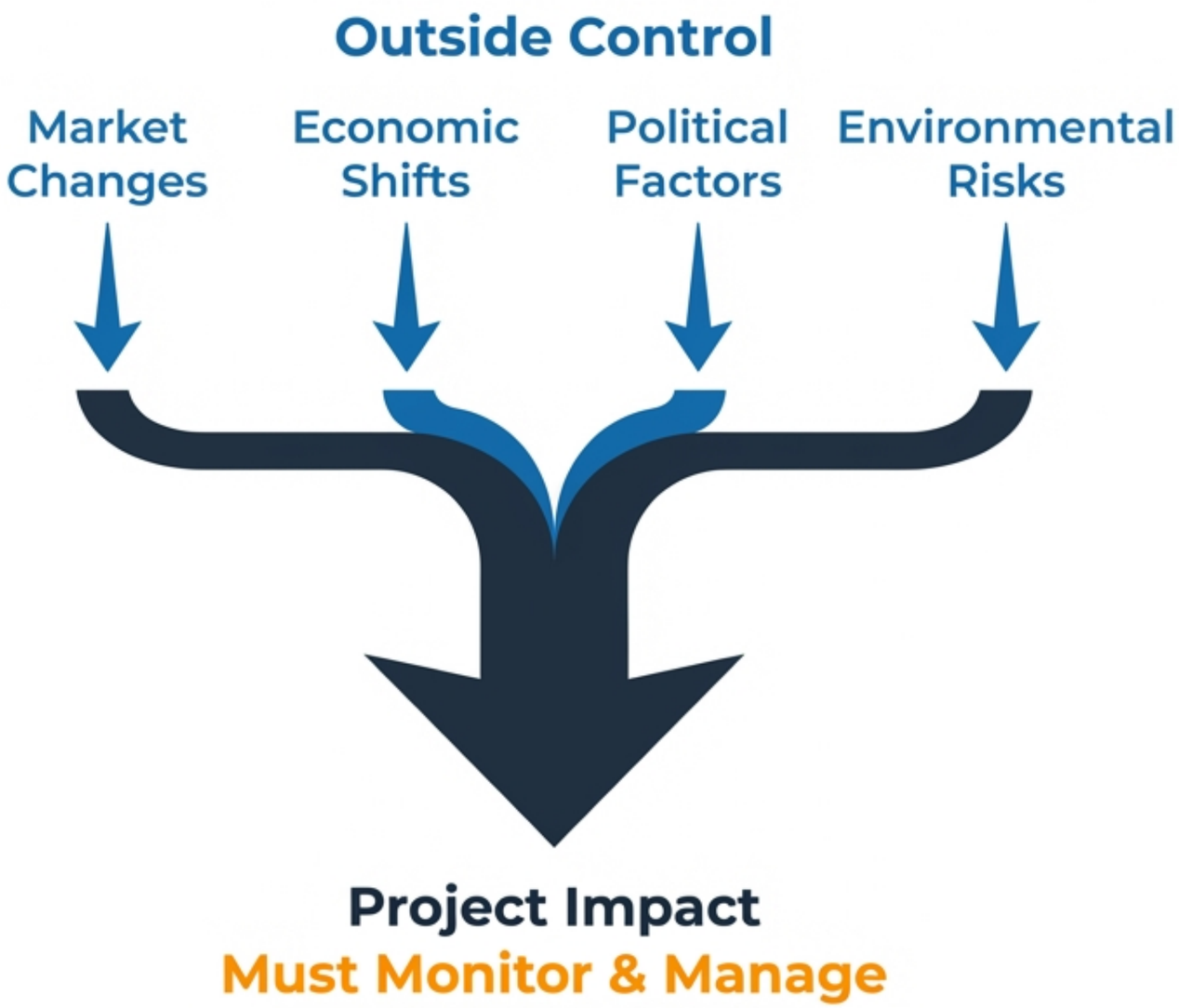
NAVIGATING EXTERNAL RISKS



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ENTERPRISE RISK MANAGEMENT (ERM)

Enterprise Strategic Impact

Alignment

Organizational Risk Framework

Isolated Project Risks

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THE PMI MINDSET FOR COMPLIANCE

Identify Requirement

Follow Regulations

Enforce Compliance

Do Not Bypass Rules

Never bypass.

Escalate Conflicts

Escalate Issues

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SCENARIO: REGULATORY CONFLICT

Situation: Stakeholder demands bypassing regulation to meet a deadline.
Constraint: Regulatory Violation Risk vs. Schedule.

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EXAM TRAPS VS. PMI MINDSET

Avoid Traps	Choose Mindset
Ignore regulation	Respect regulations
Shortcut process	Follow governance
Yield to stakeholder pressure	Prioritize ethics
Keep quiet	Escalate immediately

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PMP KNOWLEDGE CHECK

Scenario: An audit reveals a new feature violates data privacy laws. A powerful sponsor demands immediate release to meet market window. What is the BEST action?

A) Release and patch later

B) Pause release and escalate to legal/compliance

C) Ask the sponsor to sign a risk waiver

D) Update the risk register and proceed

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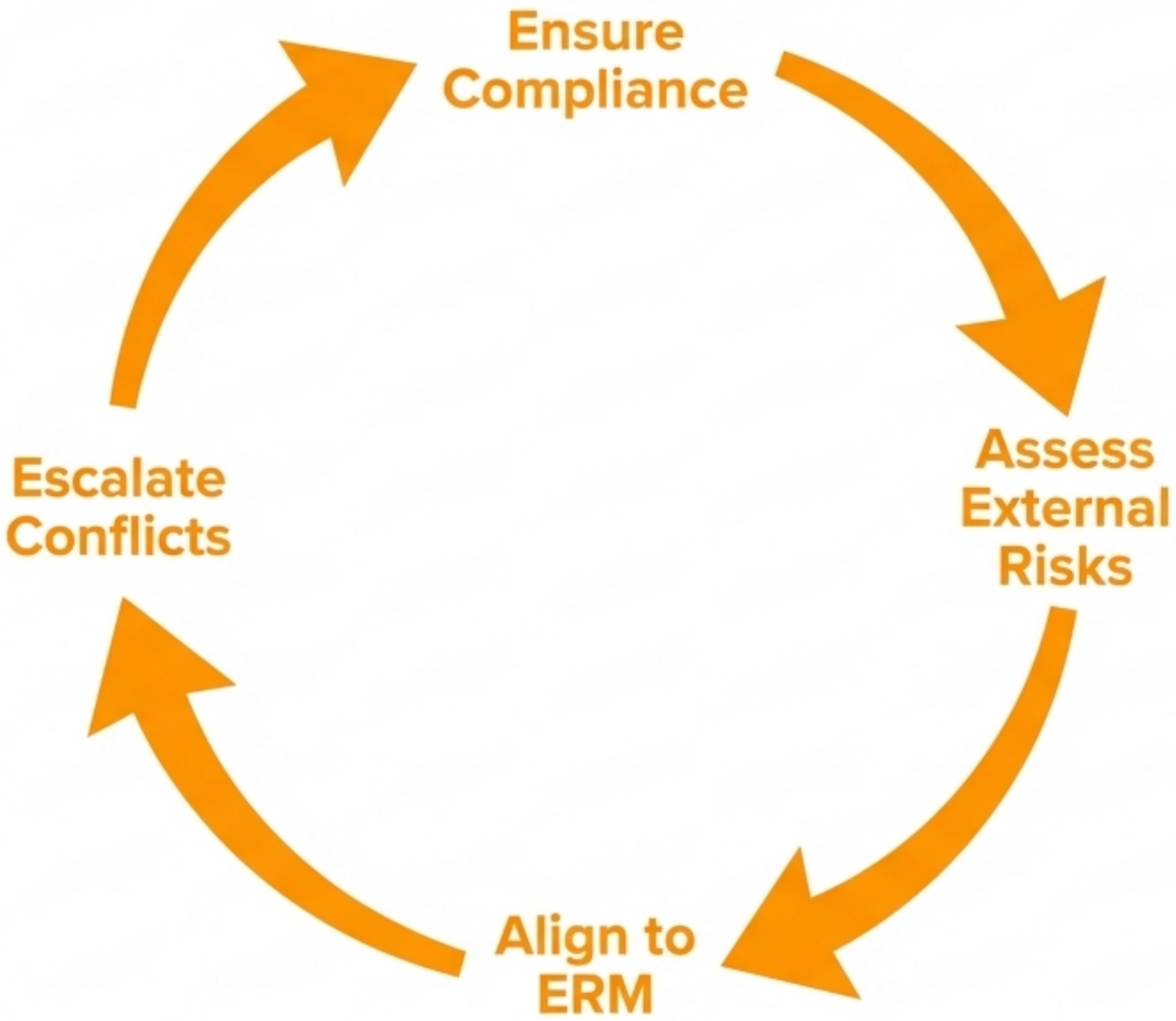
THE UNBROKEN CHAIN OF GOVERNANCE

Compliance First

External Risks Matter



Escalate When Needed

Align with Enterprise Risk

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